



**BRITISH AMERICAN
TOBACCO**

FULL YEAR RESULTS FOR THE YEAR ENDED 31 DECEMBER 2012

The Directors of British American Tobacco Kenya Limited are pleased to announce the results for the year ended 31 December 2012 as shown below:

Key highlights in 2012 compared to 2011 are:

- Gross turnover Up by 6% to Shs 30.5 billion
- Contribution to government revenues Up by 25% to Shs 13.1 billion
- Operating profit Up by 9% to Shs 5.1 billion
- Cash generated from operations Up by 12%
- Dividend per share Up by Shs 2 to Shs 32.5 per share

The results below are extracted from the audited consolidated accounts of British American Tobacco Kenya Limited for the year ended 31 December 2012.

Condensed Statement of Comprehensive Income for the year ended 31 December 2012

	2012 Shs' m	2011 Shs' m
Gross turnover	30,504	28,818
Excise duty and VAT	(11,095)	(8,680)
Net revenue	19,409	20,138
Operating profit	5,104	4,662
Finance costs	(350)	(178)
Profit before tax	4,754	4,484
Income tax expense	(1,483)	(1,386)
Profit after tax	3,271	3,098
Dividend	3,250	3,050
Basic and diluted earnings per share (Shs)	32.71	30.98

Condensed Statement of Financial Position as at 31 December 2012

	2012 Shs' m	2011 Shs' m
Capital and reserves		
Share capital	1,000	1,000
Revaluation surplus	1,529	1,064
Retained earnings	4,569	4,348
Shareholders' funds	7,098	6,412
Non-current liabilities	2,026	1,998
	9,124	8,410
Assets		
Non-current assets	8,047	6,771
Working capital		
Current assets	7,130	6,980
Current liabilities	(6,053)	(5,341)
Net working capital	1,077	1,639
	9,124	8,410

Condensed Cash Flow Statement for the year ended 31 December 2012

	2012 Shs' m	2011 Shs' m
Cash generated from operations	6,041	5,392
Net interest paid	(305)	(172)
Tax paid	(1,732)	(1,351)
Net cash from operating activities	4,004	3,869
Net cash used in investing activities	(1,200)	(993)
Net cash used in financing activities	(3,347)	(1,762)
(Decrease) / Increase in cash & cash equivalents	(543)	1,114
At start of period	699	(415)
At end of period	156	699

Condensed Statement of Changes in Equity for the year ended 31 December 2012

	Share capital Shs' m	Revaluation Shs' m	Retained earnings Shs' m	Total Shs' m
At 1 January 2011	1,000	1,108	3,006	5,114
Net profit	-	(44)	3,142	3,098
Dividends	-	-	(1,800)	(1,800)
At 31 December 2011	1,000	1,064	4,348	6,412
At 1 January 2012	1,000	1,064	4,348	6,412
Net profit	-	465	3,271	3,736
Dividends	-	-	(3,050)	(3,050)
At 31 December 2012	1,000	1,529	4,569	7,098

Overview

Domestic, exports and contract manufacture cigarette volumes grew by 13% over the previous year reflecting underlying growth in both exports and domestic sales as well as incremental contract manufacture volumes during the year. The total volume growth, partially offset by lower export volumes of cut rag (semi-processed tobacco) and a stronger exchange rate impact on the 2012 exports turnover relative to the prior year, resulted in a 6% increase in Gross turnover to Shs 30.5 billion.

Net revenue marginally reduced by 4% reflecting the volume impact on Gross turnover as well as the full year impact of higher taxes in 2012. Contribution to Government revenues in the form of Excise Duty, VAT and Corporation tax grew to a record Shs 13.1 billion during the year, a 25% growth over 2011.

We continue to engage the Government and other relevant stakeholders with a view to addressing issues on illicit trade in cigarettes, enhancing a level playing field in the Industry for local manufacturers and in having an optimal excise regime in order to generate sustainable industry and Government revenues.

Operating profit grew by 9% reflecting the impact of an improved mix in the domestic markets and lower operating expenses in 2012 resulting from continuous efforts by management on cost control across the business. Profits were also positively impacted by the underlying benefits of productivity savings on the cost of manufacture. Finance costs increased by Shs 172 million principally reflecting higher levels of borrowings and interest rates relative to the prior year. Profit before tax increased by 6% reflecting higher operating profits offset by higher finance costs.

Cash generated from operations increased by 12% to Shs 6 billion reflecting the improved profitability in 2012 as well as the positive impact of working capital management. The Nairobi factory continues to play a key role as a regional centre of manufacturing and supply chain excellence and the company invested Shs 1.2 billion in 2012 to further increase factory capacity and efficiencies as well as enhancing quality standards.

Dividend

The Directors have resolved to recommend a final dividend of Shs 29 per Shs 10 ordinary share at the AGM to be held on 30 April 2013. The final dividend when added to the interim dividend already paid, gives a total dividend of Shs 32.5 per share. The dividend, which is subject to withholding tax, will be paid on 30 April 2013 to the shareholders on the register at the close of business on 29 March 2013.

Nairobi
28 February 2013

By Order of the Board
RT Ngobi
Company Secretary